

June 1, 2026 12:21 PM GMT

Jiangsu Zhongtian Technology Co. Ltd. | Asia Pacific

Risk Reward Update

WHAT'S CHANGED

Jiangsu Zhongtian Technology Co. Ltd. (600522.SS)	From	To
Price Target	Rmb55.46	Rmb53.23
Bull Case	Rmb67.59	Rmb65.00
Base Case	Rmb55.46	Rmb53.23
Bear Case	Rmb31.00	Rmb28.00
Updated Components		
EPS		
Investment Thesis		
Bull Base Bear Scenarios		

Risk Reward for Jiangsu Zhongtian Technology Co. Ltd. (600522.SS) has been updated.

Reason for change

We lower ZTT's net profit estimates by 11.9%/12.1%/9.3% for 2026–28 to Rmb6.4bn/Rmb8.3bn/Rmb10.3bn, respectively, primarily due to lower revenue and gross profit margin forecasts for its optical I&C segment under more prudent assumptions for optical fiber ASPs over the period. As a result, our DCF-derived price target declines 4% to Rmb53.23, implying a 2027E P/E of 21.9x.

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Asia Summer School 2026

India Investment Forum 2026

Jiangsu Zhongtian Technology Co. Ltd. (600522.SS, 600522 CG)

China Utilities | China

Stock Rating	Overweight
Industry View	Attractive
Price target	Rmb53.23
Shr price, close (Jun 1, 2026)	Rmb39.39
52-Week Range	Rmb47.40-13.05

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.85	1.88	2.43	3.01
Prior EPS (Rmb)**	-	2.14	2.77	3.32

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Risk Reward – Jiangsu Zhongtian Technology Co. Ltd. (600522.SS)

Structural tailwind across segments, beneficiary of booming optical fiber demand

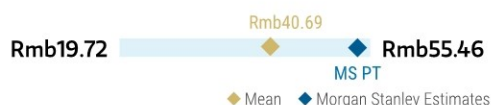
PRICE TARGET Rmb53.23

Base case, discounted cash flow model, which captures long-term cash flows for 2027-37. Key assumptions:

- WACC of 9.67% - CoE of 10.55% (beta of 1.2, risk-free rate of 3.15%, risk premium of 4.5%, China premium of 2.0%); after-tax CoD of 5.25%; target debt to capital ratio of 20.0%
- 2% terminal growth

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- ZTT should benefit from an up-cycle in optical fiber prices, driven by accelerating AI data center build-outs and sustained supply tightness. We expect revenue in the optical I&C segment to grow 55% YoY in 2026, with ~45% GPM.
- Upcoming demand supports ZTT's power transmission business, following China's Rmb4tn grid investment plan during the 15th Five-Year Plan.
- We see structural upside for marine systems from European and Chinese offshore development acceleration.
- We expect strong delivery in 2026 given a Rmb12bn marine order backlog. Product mix is favorable with high-voltage and overseas orders.
- Despite the stock's YTD rally, P/E is still appealing vs. its five-year historical peak.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Renewable Energy: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb65.00

22.1x bull case 2027e EPS

- 1) Optical I&C: Revenue growth 5ppt higher vs. base case and GPM 1ppt higher vs. the base case in 2026-27.
- 2) Submarine cable and EPC: Revenue growth 3ppt higher than base case in 2026-27, and GPM 1ppt higher than base case in 2026-27.
- 3) Operating expenses/revenue: 1ppt lower than base case in 2026-27.

BASE CASE

Rmb53.23

21.9x base case 2027e EPS

- 1) Optical I&C: Revenue to grow 55% in 2026 and 30% in 2027, with GPM of 45% in both years.
- 2) Submarine cable & EPC: Revenue growth of 32% in 2026 and 30% in 2027, with GPM of 30% and 32%.
- 3) Power transmission: Revenue growth of 15% in 2026-27, with GPM of 15%.
- 4) Operating expenses/manufacturing revenue: 9.4% for 2026 and 9.3% for 2027.

BEAR CASE

Rmb28.00

21x bear case 2027e EPS

- 1) Optical I&C: Revenue growth 5ppt lower vs. base case and GPM 2ppts higher vs. the base case in 2026-27.
- 2) Submarine cable and EPC: Revenue growth 5ppt lower than base case in 2026-27, and GPM 1ppt higher than base case in 2026-27.
- 3) Operating expenses/revenue: 2.5ppt higher than base case from 2026-27.

Risk Reward – Jiangsu Zhongtian Technology Co. Ltd. (600522.SS)

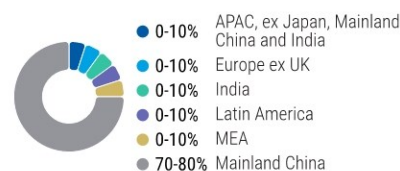
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Revenue growth of Marine system (%)	74.2	31.5	30.0	30.0
Revenue growth of Optical I&C (%)	(8.9)	55.0	30.0	30.0
Revenue growth of Power transmission (%)	12.5	15.0	15.0	15.0

INVESTMENT DRIVERS

- Growth of submarine cable demand as a result of expansion in offshore wind power capacity in China and global market
- Development of energy storage system business and more solar EPC resources secured
- Optical fiber demand and price recovery

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Revenue acceleration in optical I&C segment, amid ASP boost for optical fiber
- Higher offshore wind submarine cable penetration in overseas markets (especially Europe)
- Better-than-expected operating cost management

RISKS TO DOWNSIDE

- Lower-than-expected optical I&C revenue growth
- Subpar order intake of submarine cable in overseas markets
- Subpar operating cost management

OWNERSHIP POSITIONING

Inst. Owners, % Active 85.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 60,089.0 62,480.3 66,435.9
63,341.5

Net income (Rmb, mn) 3,804.0 6,421 7,354.0
5,987.0

EPS (Rmb) 1.1 1.9 2.2
1.8

DPS (Rmb) 0.6
Note: There are not sufficient brokers supplying consensus data for this metric

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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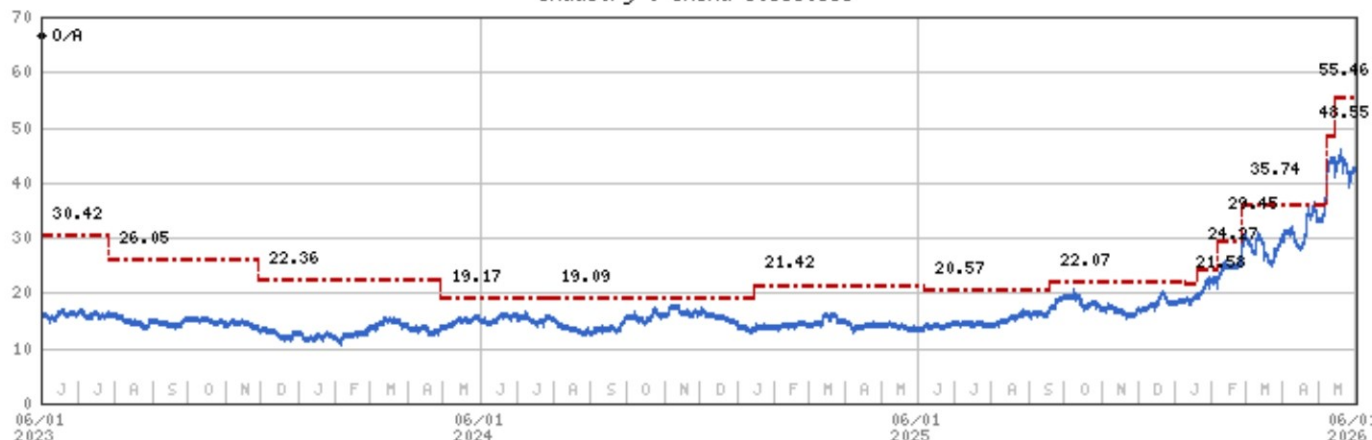
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Stock Price, Price Target and Rating History (See Rating Definitions)

Jiangsu Zhongtian Technology Co. Ltd. (600522.SS) - As of 06/01/26 GMT in CNY
Industry : China Utilities



Stock Rating History: 6/1/21 : 0/A

Price Target History: 3/26/21 : 16.07; 12/16/21 : 24.31; 8/17/22 : 35.38; 3/20/23 : 30.42; 7/27/23 : 26.05; 11/29/23 : 22.36; 4/29/24 : 19.17; 7/29/24 : 19.09; 1/15/25 : 21.42; 6/6/25 : 20.57; 9/19/25 : 22.07; 1/9/26 : 21.58; 1/19/26 : 24.27; 2/6/26 : 29.45; 2/25/26 : 35.74; 5/7/26 : 48.55; 5/14/26 : 55.46

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: China Utilities

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/01/2026)
Eva Hou		
CGN Power Co., Ltd (1816.HK)	E (03/21/2026)	HK\$3.18
CGN Power Co., Ltd (003816.SZ)	U (03/29/2021)	Rmb4.69
China Longyuan Power Group (0916.HK)	E (01/20/2026)	HK\$6.77
China Longyuan Power Group (001289.SZ)	E (08/06/2024)	Rmb18.98
China Resources Power (0836.HK)	E (03/21/2026)	HK\$21.64
China Yangtze Power Co. (600900.SS)	O (11/14/2023)	Rmb27.77
Dajin Heavy Industry (002487.SZ)	O (04/18/2026)	Rmb72.90
Goldwind (002202.SZ)	U (01/20/2026)	Rmb23.46
Goldwind (2208.HK)	E (08/17/2022)	HK\$13.79
Guangdong Investment (0270.HK)	O (08/18/2020)	HK\$8.40
Hangzhou First Applied Material Co. Ltd (603806.SS)	O (01/18/2023)	Rmb17.44
Henan Pinggao Electric (600312.SS)	O (01/18/2024)	Rmb21.32
Huaneng Power International Inc. (0902.HK)	E (06/30/2022)	HK\$7.50
Huaneng Power International Inc. (600011.SS)	U (04/07/2021)	Rmb9.76
JA Solar Technology Co Ltd (002459.SZ)	E (09/02/2025)	Rmb9.06
Jiangsu Zhongtian Technology Co. Ltd. (600522.SS)	O (10/12/2020)	Rmb39.39
LONGi Green Energy Technology Co Ltd (601012.SS)	U (09/02/2025)	Rmb13.68
NARI Technology (600406.SS)	O (11/01/2015)	Rmb25.22
Ningbo Orient Wires & Cables Co Ltd (603606.SS)	O (08/17/2022)	Rmb43.88
Riyue Heavy Industry Co., Ltd. (603218.SS)	O (02/11/2025)	Rmb11.97
Shanghai Electric (2727.HK)	U (03/26/2021)	HK\$4.27
Shanghai Electric (601727.SS)	U (03/26/2021)	Rmb8.20
Sieyuan Electric Co.Ltd. (002028.SZ)	O (07/01/2025)	Rmb216.00
Sinoma Science & Technology Co. Ltd. (002080.SZ)	O (09/23/2025)	Rmb64.04
Tongwei Co. Ltd. (600438.SS)	E (09/02/2025)	Rmb14.53
XJ Electric (000400.SZ)	E (03/21/2026)	Rmb27.22

Hannah Yang, CFA

Xinyi Solar Holdings Ltd (0968.HK)	O (07/30/2020)	HK\$2.71
Tom Li		
Anhui Yingliu Electromechanical Co Ltd (603308.SS)	O (04/08/2026)	Rmb63.55
Huaming Power Equipment (002270.SZ)	O (04/08/2026)	Rmb21.73
Ningbo Sanxing Medical Electric Co. Ltd. (601567.SS)	O (04/08/2026)	Rmb16.51

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.